The business of borrowing

Almost everybody borrows money at some time. It can be a very small amount, such as when you forget your wallet and borrow $3 from a friend to buy a cup of coffee. Of course, you promise to pay it back, perhaps the next day. Because you know and trust each other, your friend knows she will get her money back. If it's a larger amount, somebody wanting to borrow money goes to a bank. The bank will want to make sure that it will get its money back, so it will want to know about the borrower. If it's an individual, the bank asks about her job and income, for example. And if it's a business, the bank finds out how well the firm has been doing and what plans it has for the future. If the bank is sure that the borrower will be able to repay the money, they can make an agreement setting out the terms of the loan, such as when it will be paid back and whether it will be paid in installments or all at once. Unlike when you lend a few dollars to a friend, a bank isn't doing this out of kindness, but to make a profit. Normally it charges interest on the loan, adding a percentage known as the "interest rate" to the original amount borrowed. A bank may agree to lend a business say $10,000 over a period of five years at an interest rate of 10% per annum (each year), which the business repays in monthly installments. Interest is charged on the money that's still owed, the bank gets back more than it loaned, but the borrower benefits from having a lump sum and time to pay it back.